LEARNER GUIDE

Xero Essentials for SMEs: Streamlining Accounting and Tax Operations

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12.0	Legacy release	Legacy trainer deck and course documents	Tertiary Infotech Academy
13.0	16 August 2026	Complete v13 rebuild from the v12 coverage floor; current Xero and Singapore GST context, concept-led teaching, ten detailed progressive activities and aligned evidence controls.	Tertiary Infotech Academy Pte Ltd

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How to Use This Learner Guide

The slides teach concepts and controls. This Learner Guide and each activity folder contain the detailed procedures, evidence requirements and acceptance criteria. Xero is continuously updated, so follow the intent and control point when a menu label differs, and record the difference in the activity exception log.

Course and Skills Framework

- LO1: Configure and import relevant data to the Xero accounting system.
- LO2: Input and control day-to-day sales, purchasing, banking and inventory data in Xero.
- LO3: Compute and review GST for expenses and invoices using appropriate Singapore tax rates.
- LO4: Generate and interpret financial, accounting, ageing and GST reports for SME decisions.

Source and Compliance Note

Tax content is educational and source-aligned, not tax advice. The current Singapore GST rate is 9% and the corporate income tax rate is 17% at the publication date. Verify time-sensitive rules, filing dates, rebates and software behaviour with IRAS and Xero Central before acting.

- Course page: https://www.tertiarycourses.com.sg/wsq-xero-essentials-for-smes-streamlining-accounting-and-tax-operations.html — One-day, 8-hour beginner course; four learning outcomes and four topic areas.
- Xero Singapore: https://www.xero.com/sg/ — Current Singapore Xero product information; plan availability and included features can change.
- Xero Central — import data: https://central.xero.com/s/article/Import-data-in-to-Xero — Official overview of supported Xero import types and formats.
- Xero Central — Singapore GST: https://central.xero.com/s/article/Singapore-GST-in-Xero — Xero uses one GST account, Singapore tax rates and the transaction tax treatment to populate the GST F5 return.
- Xero Central — GST F5 return: https://central.xero.com/s/article/GST-F5-return — Official setup, access, box mapping and review guidance for the Singapore GST F5 return.
- Xero Central — bank statement CSV: https://central.xero.com/s/article/Import-a-CSV-bank-statement — Official CSV structure, mapping, review and import requirements.
- IRAS current GST rates: https://www.iras.gov.sg/taxes/goods-services-tax-(gst)/basics-of-gst/current-gst-rates — Singapore GST is 9% at the publication date; standard-rated, zero-rated, exempt and out-of-scope treatment must be distinguished.
- IRAS GST filing: https://www.iras.gov.sg/taxes/goods-services-tax-(gst)/filing-gst — GST return review and filing obligations; Xero is a preparation and control tool, not a substitute for IRAS guidance.
- IRAS corporate income tax: https://www.iras.gov.sg/taxes/corporate-income-tax/basics-of-corporate-income-tax/corporate-income-tax-rate-rebates-and-tax-exemption-schemes — Corporate income tax is 17% of chargeable income; time-sensitive rebates and exemptions must be checked with IRAS.

Topic 1: Introduction to Xero Accounting System

Alignment: A1 · K1 · Cloud accounting · company setup · master data · governance

Key concepts

- Accounting-system choices and the role of cloud accounting in an SME control environment.
- Company settings, financial year, GST profile, home currency and user-access design.
- A governed migration sequence for chart of accounts, customers, suppliers and products/services.
- Opening-balance controls: cut-off, completeness, mapping, reconciliation and sign-off.

Concept and control explanations

From source document to decision

- Capture evidence
- Classify consistently
- Post to ledgers
- Review and decide

Accounting systems an SME may encounter

- Manual records — low cost, weak control at scale
- Desktop accounting — local control, limited collaboration
- Cloud accounting — shared, current records
- ERP — integrated processes across functions

What Xero manages

- Invoices, quotes and receivables
- Bills, purchase orders and payables
- Bank accounts and reconciliation
- Products/services, GST and reporting

Cloud accounting control model

- Authorised users
- Structured transactions
- Automated ledger updates
- Reviewable reports

Xero ecosystem

- Core ledger and subledgers
- Bank connections and imports
- App integrations
- Accountant collaboration

Select a plan by requirements

- Transaction volume
- Number and roles of users
- Inventory and purchase orders
- Reporting and automation needs

Company setup decisions

- Legal and customer-facing identity
- Financial year and accounting method
- GST registration details
- Home currency and multi-currency decision

Multi-currency is a governance decision

- Confirm business need
- Set the correct home currency first
- Understand exchange-rate effects
- Document irreversible or plan-specific settings

User roles and segregation of duties

- Subscriber manages the organisation
- Business & accounting access is scoped
- Invoice-only access limits entry
- Read-only or adviser access supports review

Chart of Accounts is the reporting spine

- Account type drives report placement
- Tax rate supports GST treatment
- Code and name support consistency
- Archived accounts preserve history

Design a usable account structure

- Stable coding convention
- Right level of detail
- Avoid duplicate meaning
- Map legacy accounts before import

Master-data quality gate

- Clean
- Standardise
- Map
- Validate
- Import
- Reconcile

Contacts as a shared master

- One contact may be customer and supplier
- Terms and opening balance cut-off
- GST and currency attributes
- Duplicate prevention and ownership

Products and services records

- Tracked inventory item
- Untracked item
- Service item
- Purchase and sales defaults

Financial settings anchor the ledger

- Financial year end
- GST basis and registration
- Lock dates
- Time zone and default tax treatment

Conversion balances establish the cut-over

- Choose conversion date
- Load account balances
- Enter AR/AP detail
- Reconcile and lock

Inventory item accounting map

- Purchase cost
- Inventory asset
- Sale revenue
- Cost of goods sold

Opening balances need evidence

- Trial balance at cut-off
- AR/AP detail matches control totals
- Bank statement agrees to cash
- Inventory quantity and value are supported

Migration control totals

- Record count
- Debit/credit totals
- Opening balance totals
- Exception log and sign-off

Import or enter manually?

- Use import for clean repeatable lists
- Use manual entry for low volume
- Test a small sample first
- Retain the source and import result

Topic 1 control checkpoint

- A successful setup is not just complete; it is reconciled, access-controlled and explainable.

Activity 01: Set Up the SME Organisation and Control Profile

Level: Foundation · Duration: 25 min · Alignment: A1 · K1

Create a controlled Xero organisation profile for Lumina Homeware Pte Ltd.

Detailed step-by-step procedure

1. Open the activity workbook and read the Scenario and Control Matrix sheets before using Xero.

2. Sign in to the trainer-provided Xero demo or trial organisation; confirm that it contains mock data only.

3. Select the organisation name, open Settings, and record Organisation details, Financial settings, Invoice settings and Users in the Evidence Log.

4. Enter the legal name, customer-facing name, UEN, GST registration number, contact details and Singapore address from the workbook.

5. Set the financial year end to 31 December and confirm the accounting basis required by the scenario.

6. Confirm SGD as home currency; do not enable multi-currency until the irreversible-setting check is signed off.

7. Review GST settings against the 9% standard rate and quarterly filing scenario; do not mark any period as filed.

8. Create the proposed user-access matrix without inviting real external users; use trainer-provided dummy addresses only if instructed.

9. Capture screenshots of the company, financial-year and GST settings, excluding personal information.

10. Complete the Control Checks sheet and record any plan/UI difference in the Exception Log.

Evidence to retain

- Completed activity workbook
- Requested Xero reports or screenshots without personal data
- Exception and decision log
- Reviewer or peer sign-off

Acceptance criteria

- Legal identity and financial year match the scenario
- GST profile is documented
- Home currency decision is approved
- Access roles follow least privilege

Self-contained learner files: activities/activity-01-company-setup-and-controls/

Activity 02: Clean and Import Master Data

Level: Foundation · Duration: 30 min · Alignment: A1 · K1

Prepare, validate and import the chart of accounts, customers, suppliers and products/services.

Detailed step-by-step procedure

1. Review the supplied chart of accounts, customer, supplier and product/service files; do not import before completing validation.

2. Check required columns, unique names, data types, opening-balance dates and GST/currency attributes.

3. Use the Mapping sheet to map each legacy account to the intended Xero account type and default tax rate.

4. Resolve duplicate customer and supplier display names using the documented naming rule.

5. Confirm that product/service income, expense/COGS and inventory-asset mappings are complete.

6. Record source row counts and control totals in the workbook before import.

7. Import the chart of accounts first; inspect the preview and correct rejected or mis-mapped rows.

8. Import contacts; compare imported counts with source counts and log duplicate-name or role exceptions.

9. Import products/services or enter the small list manually if the current plan does not support the import path.

10. Run a post-import control: sample three records from each list and reconcile totals to the workbook.

Evidence to retain

- Completed activity workbook
- Requested Xero reports or screenshots without personal data
- Exception and decision log
- Reviewer or peer sign-off

Acceptance criteria

- All source files pass the quality checks
- Counts reconcile before and after import
- No duplicate display names remain
- Account and item mappings are supportable

Self-contained learner files: activities/activity-02-master-data-import/

Topic 2: Input Data to Xero

Alignment: A2 · K2 · Banking · sales · purchases · inventory · recurring transactions

Key concepts

- A source-document-to-ledger cycle for bank, sales, purchasing and inventory transactions.
- Accounts receivable from quote through invoice, payment, credit note and overdue follow-up.
- Accounts payable from purchase order through bill, payment, supplier credit note and recurring expense.
- Control points for duplicate prevention, approvals, History & Notes, tracking categories and reconciliation.

Concept and control explanations

Transaction lifecycle

- Source
- Authorise
- Record
- Settle
- Reconcile
- Review

Bank feeds and file imports

- Connection can reduce rekeying
- CSV import supports controlled batches
- Downloaded does not mean correctly posted
- Review every match, add and exclusion

Banking rule of evidence

- The bank feed is a source; the ledger classification and reconciliation are the control.

Add a bank account correctly

- Correct account type
- Clear account name and number
- Opening date and balance evidence
- Owner and reconciliation frequency

Match, create or transfer

- Match an existing Xero transaction
- Create a genuine spend/receive money item
- Transfer between own bank accounts
- Discuss uncertain items before posting

Receive money, spend money and transfer

- Receive money records non-invoice receipts
- Spend money records immediate payments
- Transfer moves value between own accounts
- Each needs date, account and evidence

Bank reconciliation equation

- Statement ending balance

- Add deposits in transit
- Less outstanding payments
- Equals ledger balance

Reconciliation differences

- Wrong date or amount
- Duplicate or missing transaction
- Uncleared item
- Opening-balance or bank-charge issue

Sales cycle

- Quote
- Customer acceptance
- Invoice
- Payment
- Reconcile
- Follow up

Quote, invoice or receive money?

- Quote — non-posting offer
- Invoice — sale on credit
- Receive money — non-invoice receipt
- Credit note — reduces customer balance

Invoice quality controls

- Correct customer and date
- Accurate product, quantity and price
- Terms and tax rate
- Unique document number and supporting evidence

Invoice branding themes

- Brand identity and contact details
- Readable item and tax information
- Consistent payment terms
- Preview before use

Receive and apply payment controls

- Customer identity
- Open invoice match
- Payment evidence
- Deposit destination
- Balance validation

Manage overdue invoices

- Review ageing buckets
- Prioritise material exposures
- Document collection action
- Escalate disputes and credit risk

Purchasing cycle

- Purchase order

- Receive
- Supplier bill
- Approve
- Pay
- Reconcile

Spend money, bill or purchase order?

- Spend money — paid now
- Bill — pay later
- Payment settles an approved bill
- Purchase order — commitment, not expense

Three-way matching

- Purchase order
- Goods or service received
- Supplier invoice
- Approved bill

Supplier credit notes

- Record the supplier credit note
- Allocate it to open bills
- Preserve original documents
- Verify AP control balance

Repeating transactions

- Use for predictable repeated invoices or bills
- Set schedule and end condition
- Choose draft/approve/send status carefully
- Review templates periodically

Inventory quantity and value

- Purchase increases quantity/value
- Sale reduces quantity and recognises COGS
- Adjustment needs reason and authorisation
- Negative stock is a control warning

Tracking categories

- Category answers the management question
- Options stay mutually meaningful
- Use a stable taxonomy
- Review untracked transactions

History & Notes as detective control

- Who changed what
- When the change occurred
- Edits, status and communication
- Patterns requiring review

Internal control pattern

- Prevent
- Detect

- Correct
- Evidence
- Monitor

Topic 2 control checkpoint

- Fast data entry is useful only when source evidence, approval and reconciliation remain intact.

Activity 03: Import Banking Data and Reconcile July

Level: Intermediate · Duration: 35 min · Alignment: A2 · K2

Set up bank accounts, import statement lines and reconcile the July statement.

Detailed step-by-step procedure

1. Create the DBS operating and OCBC reserve accounts using the account details in the workbook.

2. Review the bank-statement CSV and confirm opening balance, ending balance, date range and row count.

3. Import the statement file using the current bank-upload workflow and map date, description and amount fields.

4. For each line, decide whether to match, create or transfer; use the Classification sheet as the approved coding source.

5. Record the director capital injection as a bank deposit to equity and retain the supporting reference.

6. Record the consulting payment with the correct expense account and GST code.

7. Record the transfer between DBS and OCBC once; verify that it does not duplicate both sides of the imported feed.

8. Start the reconciliation using the statement ending date and balance in the workbook.

9. Investigate any difference by amount, date, duplicate, missing item or opening balance; do not force a balancing entry.

10. Save the reconciliation report and complete the workbook Evidence Log.

Evidence to retain

- Completed activity workbook
- Requested Xero reports or screenshots without personal data
- Exception and decision log
- Reviewer or peer sign-off

Acceptance criteria

- Imported row count matches the source
- Every line is matched, created or transferred with a reason
- Transfer is recorded once
- Reconciliation difference is zero

Self-contained learner files: activities/activity-03-banking-and-reconciliation/

Activity 04: Process the Quote-to-Cash Cycle

Level: Intermediate · Duration: 30 min · Alignment: A2 · K2

Process a quote, invoice, payment, customer credit note and overdue follow-up.

Detailed step-by-step procedure

1. Review the Sales Orders sheet and confirm customer, item, quantity, price, terms and GST treatment.

2. Create quote EST-1001 for Lion City Cafe Pte Ltd and verify that it does not post to the general ledger.

3. Convert the accepted quote to invoice INV-1001 without rekeying; confirm quantity, price and 9% GST.

4. Create an immediate-payment invoice for a walk-in sale, record the payment and reconcile it to the correct bank account.

5. Receive and apply the customer payment to INV-1001; verify that the unapplied amount is zero.

6. Create the approved customer credit for returned goods and apply it to the relevant open balance.

7. Preview the invoice branding theme and verify legal identity, GST details, terms and readable line information.

8. Run the customer transaction list and compare it with the Expected Postings sheet.

9. Run AR Ageing Summary as at month-end and identify the top two overdue balances.

10. Document the collection priority, owner, promised date and escalation trigger in the Action Log.

Evidence to retain

- Completed activity workbook
- Requested Xero reports or screenshots without personal data
- Exception and decision log
- Reviewer or peer sign-off

Acceptance criteria

- Quote-to-invoice chain is intact
- Payment and credit are applied correctly
- GST is consistent with source documents
- AR ageing actions are specific and evidenced

Self-contained learner files: activities/activity-04-sales-and-receivables/

Activity 05: Process Purchasing and Payables

Level: Intermediate · Duration: 30 min · Alignment: A2 · K2

Process purchase orders, supplier bills, payments, supplier credit notes and recurring expenses.

Detailed step-by-step procedure

1. Review the Purchase Register and identify the approved supplier, item, quantity, price, GST and approver.

2. Create purchase order PO-2001 and confirm that it is non-posting until receipt/bill conversion.

3. Compare the purchase order, receiving evidence and supplier invoice using the three-way match sheet.

4. Convert the purchase order to bill BILL-2001; correct any variance only with an approved reason.

5. Enter the immediate-payment office expense separately and use the correct expense account and GST code.

6. Pay the approved bill from the DBS operating account and record the supplier reference.

7. Enter the supplier credit note for damaged goods and apply it to the supplier balance.

8. Create a repeating bill template for the monthly internet bill with an appropriate draft/approval status and review date.

9. Run AP Ageing Summary and compare supplier balances with the workbook control totals.

10. Record evidence and exceptions, including any plan-specific workflow difference.

Evidence to retain

- Completed activity workbook
- Requested Xero reports or screenshots without personal data
- Exception and decision log
- Reviewer or peer sign-off

Acceptance criteria

- Three-way match is documented
- Bill and payment retain source references
- Supplier credit note is applied
- Recurring template has an owner and review date

Self-contained learner files: activities/activity-05-purchasing-and-payables/

Activity 06: Control Inventory, Tracking Categories and History

Level: Intermediate · Duration: 25 min · Alignment: A2 · K2

Review inventory movements, tracking quality and History & Notes evidence.

Detailed step-by-step procedure

1. Review the Inventory Roll-forward sheet and confirm opening quantity and cost for each item.

2. Compare purchases, sales, returns and adjustments with the expected closing quantities.

3. Investigate negative stock, unusual adjustment dates and unsupported changes; do not post a plug adjustment.

4. Apply the approved tracking-category taxonomy to the sample transactions where the training plan supports it.

5. Run a transaction report filtered for blank tracking categories and record the exceptions.

6. Open the History & Notes report and filter for the activity period and transaction changes.

7. Trace one created, one edited and one voided/deleted example to its user and timestamp.

8. Assess whether the user role and activity are appropriate under the access matrix.

9. Document corrective actions and training needs in the Audit Review sheet.

10. Sign off the inventory and audit controls only when supporting evidence is complete.

Evidence to retain

- Completed activity workbook
- Requested Xero reports or screenshots without personal data
- Exception and decision log
- Reviewer or peer sign-off

Acceptance criteria

- Inventory roll-forward reconciles
- Untracked items are resolved or logged
- History samples identify user and change
- Corrective actions have owner and due date

Self-contained learner files: activities/activity-06-inventory-tracking-history/

Topic 3: Manage Goods and Services Tax (GST)

Alignment: A3 · K3 · K4 · Singapore GST · tax coding · input/output tax · GST F5 review

Key concepts

- GST-registered businesses charge output tax and may claim eligible input tax under IRAS rules.
- Use the correct current Xero tax rate for standard-rated, zero-rated, exempt and out-of-scope items.
- Reconcile GST detail, exception and control accounts before preparing GST F5 figures.
- Escalate uncertain treatments; accounting software supports preparation but does not replace tax advice.

Concept and control explanations

GST in the value chain

- Supplier charges input GST
- Business records purchase
- Business charges output GST
- Net amount settles with IRAS

Current Singapore GST rate

- The standard rate is 9% at publication; always verify time-sensitive tax rates and rules with IRAS.

Taxable and non-taxable treatment

- Standard-rated supply
- Zero-rated supply
- Exempt supply
- Out-of-scope transaction

Output tax and input tax

- Output tax is collected on taxable sales
- Input tax may be claimable on eligible business purchases
- Net output above input generally means payable
- Net input above output may mean refundable, subject to IRAS rules

GST control formula

- Taxable value
- Apply correct rate
- GST amount
- Gross amount
- Return box

Tax-inclusive and tax-exclusive amounts

- Exclusive: GST = net × rate
- Inclusive: GST = gross × rate ÷ (1 + rate)
- Rounding policy must be consistent
- Source document must support treatment

GST coding decision

- Identify supply
- Check registration/date
- Determine place/type

- Select current code
- Review exception

GST on sales

- Correct supply category
- Valid tax invoice information
- Credit note reverses original treatment
- Foreign-currency conversion is documented

GST on purchases

- Business purpose
- Valid supporting document
- Claim eligibility
- Correct period and tax rate

Common GST coding risks

- Using standard rate by default
- Claiming blocked/private expenses
- Mixing exempt and out-of-scope
- Back-dated changes after filing

Xero's single GST account

- Xero posts transaction GST to one system account
- Manually created GST accounts do not feed GST F5
- Tax rate and treatment drive box mapping
- Reconcile GST F5 detail to the ledger

GST F5 preparation flow

- Lock period
- Run exception checks
- Review GST detail
- Reconcile control
- Prepare figures
- Approve and file

Exception-report review

- Transactions without tax
- Unusual tax rate by account
- Negative or duplicate amounts
- Changes to prior filed periods

GST reconciliation

- Sales ledger
- Purchase ledger
- GST detail
- Control account
- GST return

When errors are found

- Quantify affected periods
- Preserve an audit trail

- Correct through an approved method
- Consult current IRAS guidance

Corporate tax context

- Accounting profit is not chargeable income
- Current corporate tax rate is 17%
- Tax adjustments and reliefs are time-sensitive
- Use IRAS guidance or a qualified adviser

Records support compliance

- Source documents
- Ledger and reconciliations
- Approval evidence
- Filed return and payment evidence

Topic 3 control checkpoint

- Correct GST reporting begins at transaction coding and ends with an evidenced reconciliation.

Activity 07: Code and Validate GST Transactions

Level: Intermediate · Duration: 30 min · Alignment: A3 · K3 · K4

Apply and validate Singapore GST treatment across a mixed transaction set.

Detailed step-by-step procedure

1. Read the GST Scenario sheet and confirm the entity is GST-registered for the activity period.
2. Classify each source transaction as standard-rated, zero-rated, exempt, out-of-scope or requiring escalation.
3. Calculate expected GST for tax-exclusive and tax-inclusive examples using the workbook formulas.
4. Compare the expected treatment with the Xero tax rate available in the current Singapore organisation.
5. Enter or review the sample sales invoices and supplier bills using the approved tax rates.
6. Check that credit notes reverse the original GST treatment and period appropriately.
7. Review transactions without tax and unusual tax-rate-by-account combinations.
8. Trace a sample of input-tax claims to valid business-purpose supporting documents.
9. Record uncertain items in the Escalation Log rather than guessing a tax treatment.
10. Complete the GST Coding Review sign-off.

Evidence to retain

- Completed activity workbook
- Requested Xero reports or screenshots without personal data
- Exception and decision log
- Reviewer or peer sign-off

Acceptance criteria

- Every transaction has a supported classification
- Formula checks agree to system tax amounts
- Uncertain items are escalated
- Credits mirror original tax treatment

Self-contained learner files: activities/activity-07-gst-coding-control/

Activity 08: Prepare the GST F5 Review Pack

Level: Advanced · Duration: 30 min · Alignment: A3 · K3 · K4

Reconcile GST ledgers and prepare a review pack for the quarterly GST return.

Detailed step-by-step procedure

1. Confirm the quarter, accounting basis and period lock in the GST Review workbook.
2. Run the GST F5 return and review Transactions by box number for the same period.
3. Reconcile taxable sales and purchases to the relevant P&L/ledger totals.
4. Reconcile the GST F5 return detail to Xero's single GST system account.
5. Investigate differences caused by dates, rounding, credits, journals or changes to prior periods.
6. Populate the F5 Control sheet from validated Xero report totals; do not manually override formulas.
7. Trace at least three sales and three purchase items from report to source document.
8. Review the exception log and confirm that every material item is corrected or escalated.
9. Record the preparer and independent reviewer sign-off.
10. Retain the review pack; filing on myTax Portal is outside this training activity.

Evidence to retain

- Completed activity workbook
- Requested Xero reports or screenshots without personal data
- Exception and decision log
- Reviewer or peer sign-off

Acceptance criteria

- GST detail agrees to control accounts
- F5 control figures are formula-driven
- Sample evidence is traceable
- Preparer and reviewer sign-offs are complete

Self-contained learner files: activities/activity-08-gst-f5-review/

Topic 4: Financial and Accounting Reports

Alignment: A4 · K5 · P&L · balance sheet · cash flow · ageing · GST · custom reports

Key concepts

- Profit and Loss explains performance over a period; Balance Sheet explains position at a date.
- Cash flow, profit and working capital answer different management questions.
- AR/AP ageing turns overdue balances into collection and payment priorities.
- Report accuracy depends on reconciled source data, correct basis, period, filters and review evidence.

Concept and control explanations

Reports turn entries into decisions

- Transactions
- Ledgers
- Reconciliations
- Reports

- Management action

Profit and Loss anatomy

- Revenue
- Less cost of sales
- Gross profit
- Less operating expenses
- Net profit

P&L review questions

- Which revenue streams changed
- What drove gross margin
- Which expenses are unusual
- Are period and accounting basis correct

Balance Sheet equation

- Assets = Liabilities + Owners' Equity

Balance Sheet structure

- Current and non-current assets
- Current and non-current liabilities
- Equity and retained earnings
- Control accounts requiring reconciliation

Balance Sheet limitations

- Snapshot at one date
- Book value may differ from market value
- Unrecorded intangibles may matter
- Classification quality affects interpretation

P&L versus Balance Sheet

- P&L covers a period
- Balance Sheet is at a date
- Profit changes retained earnings
- Cash is not the same as profit

Cash flow versus profit

- Profit uses accrual accounting
- Cash flow tracks cash movements
- Credit sales can raise profit before cash
- Asset purchases use cash but are not immediately expensed

AR ageing

- Current
- 1–30 days overdue
- 31–60 days overdue
- 61+ days overdue

Use ageing to manage credit

- Validate balances
- Segment risk

- Prioritise contact
- Record action
- Escalate dispute

AP ageing

- Protect supplier terms
- Avoid duplicate payment
- Plan cash requirements
- Resolve disputed bills

GST reports

- GST F5 summary
- Transactions by box number
- Account Transactions detail
- Return preparation view

Report parameters matter

- Date range and as-of date
- Cash or accrual basis
- Tracking categories and filters
- Comparison period and rounding

Custom reports

- Define decision
- Choose base report
- Set filters/columns
- Validate totals
- Save and schedule

Scheduled reports need controls

- Review recipient access
- Use an approved cadence
- Protect confidential attachments
- Revalidate after chart/config changes

Report validation

- Reconcile source
- Check parameters
- Scan anomalies
- Trace a sample
- Document reviewer

SME management pack

- P&L with prior-period comparison
- Balance Sheet with key reconciliations
- AR/AP ageing and cash priorities
- GST position and exception log

Topic 4 control checkpoint

- A report is decision-ready only when its source data, parameters and review are evidenced.

Activity 09: Build and Interpret the SME Reporting Pack

Level: Advanced · Duration: 35 min · Alignment: A4 · K5

Generate, validate and interpret core financial and ageing reports.

Detailed step-by-step procedure

1. Confirm the reporting period, basis, comparison period, tracking-category filters and rounding convention.
2. Run the Profit and Loss report and compare revenue, gross margin and operating expenses with the workbook.
3. Run the Balance Sheet as at month-end and verify that Assets equal Liabilities plus Equity.
4. Reconcile cash, AR, AP, inventory and GST control accounts to their supporting schedules.
5. Run AR and AP Ageing Summary using the same as-of date.
6. Trace one material balance from each report to underlying transactions.
7. Customise and save a management report with relevant columns and comparison data.
8. Identify three business insights and distinguish an observation from a supported conclusion.
9. Assign an owner, action and due date to each material issue.
10. Complete the Report Validation checklist and reviewer sign-off.

Evidence to retain

- Completed activity workbook
- Requested Xero reports or screenshots without personal data
- Exception and decision log
- Reviewer or peer sign-off

Acceptance criteria

- Report parameters are consistent
- Balance Sheet equation holds
- Control accounts reconcile
- Insights link to evidence and actions

Self-contained learner files: activities/activity-09-financial-reporting-pack/

Activity 10: Capstone: Complete the Month-End Close

Level: Advanced · Duration: 40 min · Alignment: A1 · A2 · A3 · A4 · K1–K5

Complete a controlled month-end close for Lumina Homeware Pte Ltd and present a decision-ready management brief.

Detailed step-by-step procedure

1. Accept the capstone handover and verify the source-file inventory against the Intake Register.
2. Import or review outstanding master-data and bank items, resolving only approved exceptions.
3. Complete the sales and purchase cut-off checks and identify missing or duplicate transactions.
4. Reconcile the operating and reserve bank accounts without forced balancing entries.
5. Reconcile AR, AP and inventory control totals to their supporting schedules.
6. Complete the GST coding scan and GST control-account reconciliation.
7. Run P&L, Balance Sheet, Cash Flow, AR/AP Ageing and GST reports using controlled parameters.

8. Investigate the seeded anomalies listed in the workbook and document each resolution.

9. Prepare a one-page management brief covering performance, cash, overdue balances, GST position and top actions.

10. Obtain peer reviewer sign-off against the acceptance criteria and preserve the final evidence set.

Evidence to retain

- Completed activity workbook
- Requested Xero reports or screenshots without personal data
- Exception and decision log
- Reviewer or peer sign-off

Acceptance criteria

- All five control accounts reconcile
- Seeded anomalies are found and resolved
- GST and reporting packs are supported
- Management brief contains evidence-backed actions

Self-contained learner files: activities/activity-10-month-end-capstone/

End-of-Course Readiness Checklist

- All activities completed and evidence retained
- Bank, AR, AP, inventory and GST controls reconciled
- Report parameters and reviewer sign-offs documented
- WA and OQ scope understood
- LMS submission and TRAQOM attendance completed